

SUMMARY FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2015

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2015			
Company		Group	
2015 Shs '000'	2014 Shs '000'	2015 Shs '000'	2014 Shs '000'
21,000	65,322	259,773	687,301
(3,000)	(4,500)	(233,493)	(447,027)
18,000	60,822	26,280	240,274
7,565	11,982	45,547	114,879
(102,776)	(126,399)	(349,906)	(294,801)
(77,211)	(53,595)	(278,079)	60,351
(39,509)	(5,311)	(132,720)	(12,577)
(116,720)	(58,906)	(410,799)	47,774
(841)	74	20,708	(38,819)
(117,561)	(58,832)	(390,091)	8,955
(117,561)	(58,832)	(390,091)	8,955
(117,561)	(58,832)	(367,646)	(17,878)
-	-	(22,445)	26,833
(117,561)	(58,832)	(390,091)	8,955
(0.29)	(0.15)	(0.91)	(0.04)

STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2015			
Company		Group	
2015 Shs '000'	2014 Shs '000'	2015 Shs '000'	2014 Shs '000'
405,255	405,255	405,255	405,255
68,842	68,842	68,842	68,842
(196,909)	(79,348)	(552,816)	(185,170)
277,188	394,749	(78,719)	288,927
-	-	37,010	59,455
277,188	394,749	(41,709)	348,382
-	-	153,787	221,932
12,060	20,800	12,060	214,549
482,654	278,597	482,654	278,597
-	-	124,919	149,580
494,714	299,397	773,420	864,658
771,902	694,146	731,711	1,213,040

REPRESENTED BY

Company		Group	
2015 Shs '000'	2014 Shs '000'	2015 Shs '000'	2014 Shs '000'
64,521	63,137	68,648	55,496
55,000	55,000	730,602	691,457
2,164	3,534	2,164	3,692
76,986	76,986	-	-
2	2	2	2
542,400	267,900	-	-
531	124	-	-
741,604	466,683	801,416	750,647
133,000	136,000	2,910,286	2,481,657
226,509	144,373	84,141	177,463
30,144	298,113	66,473	308,868
389,653	578,486	3,060,900	2,967,988
-	-	871,660	711,475
343,749	337,060	596,763	433,487
7,495	6,730	883,598	985,820
6,863	7,233	704,854	370,113
-	-	67,672	-
1,248	-	6,058	4,700
359,355	351,023	3,130,605	2,505,595
30,298	227,463	(69,705)	462,393
771,902	694,146	731,711	1,213,040

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2015

	Share capital Shs '000'	Ordinary Share premium Shs '000'	Retained earnings Shs '000'	Total Shs '000'	controlling interests Shs '000'	Non Total equity Shs '000'
Year ended 31 December 2014						
At start of year	405,255	68,842	(167,294)	306,803	32,623	339,426
Total comprehensive (loss)/income for the year	-	-	(17,877)	(17,877)	26,833	8,956
At end of year	405,255	68,842	(185,171)	288,926	59,456	348,382
Year ended 31 December 2015						
At start of year	405,255	68,842	(185,171)	288,926	59,456	348,382
Total comprehensive (loss) for the year	-	-	(367,646)	(367,646)	(22,445)	(390,091)
At end of year	405,255	68,842	(552,817)	(78,720)	37,011	(41,709)

COMPANY STATEMENT OF CHANGES IN EQUITY

	Ordinary Share capital Shs	Share premium Shs	Retained earnings Shs	Total Shs
Year ended 31 December 2014				
At start of year	405,255	68,842	(20,517)	453,580
Total comprehensive (loss) for the year	-	-	(58,831)	(58,831)
At end of year	405,255	68,842	(79,348)	394,749
Year ended 31 December 2015				
At end of year	405,255	68,842	(79,348)	394,749
Total comprehensive (loss) for the year	-	-	(117,561)	(117,561)
At end of year	405,255	68,842	(196,909)	277,188

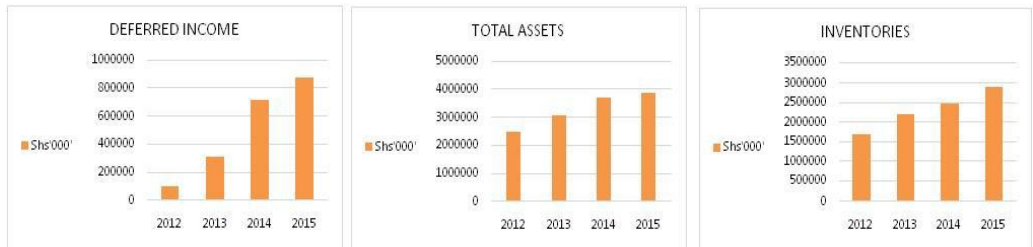
ABRIDGED STATEMENT OF CASH FLOWS

Company		Group	
2015 Shs '000'	2014 Shs '000'	2015 Shs '000'	2014 Shs '000'
(457,089)	(784)	(551,095)	(269,791)
(5,828)	(3,807)	(26,819)	(11,360)
194,948	296,451	313,537	566,626
(267,969)	291,860	(264,377)	285,475
298,113	6,253	308,868	23,393
(267,969)	291,860	(264,377)	285,475
30,144	298,113	44,491	308,868

The summary financial statements above have been extracted from the annual audited financial statements of the group which were approved by the board of directors on 5th May 2016 and were signed on its behalf by Lee Karuri and Dan Awendo. The annual financial statements were audited by PKF Kenya who issued an unqualified audit opinion with an emphasis of matter in relation to negative working capital. The summary financial statements should be read in conjunction with the complete financial statements and the auditor's report thereon which is available on our website www.homeafrika.com

1. Financial Highlights:

- The group reported a drop in revenue in the year 2015 and the corresponding cost of sales to KSh 259 million from KSh 687 million and KSh 233 million from KSh 447 million representing a 62% and 48% reduction respectively from a comparative period the previous year. The corresponding profitability also reduced from a profit of KSh 8.9 million to a loss of KSh 390 million.
- This was attributed to reduced sale of plots in Home Afrika's various projects, including **Migaa Golf Estate**, the premier golf estate development in Kiambu County. The average projects' percentage of completion, which determines how much deferred revenue is booked as sales of the group, stood at an average of 40%. As the percentage of completion increases over time, the sales booked as deferred revenue will be gradually transferred into the group's profitability statement. There was also an increase in finance costs by KSh 120 million due to the effect of the private placement financing and cessation of capitalizing of interest at the now completed Mitini Scapes development, another of Home Afrika's project located inside of Migaa Golf Estate.
- The deferred income & deposits from sales of plots grew from KSh 1.7 billion in 2014 to 1.8 billion in 2015. In line with our accounting policy, these amounts are carried as current liabilities but will over the next two years convert to revenues in our profitability statement as we increase the percentage of completion. We estimate to have completed our flagship Migaa Golf Estate project in the next 2 years. This will effectively see about half of the deferred revenue and deposits from sales of plots translate to revenues over the next 12 to 18 months and the rest thereafter as these are accounted for based on percentage of completion.
- Nevertheless, the total assets grew to KSh 3.9 billion in 2015 from KSh 3.7 billion in 2014 which represents continued investment into the various projects in an effort to bring them to completion. This explains the improved valuation of investment properties. The book value of the group's inventory or land bank therefore grew from KSh 2.4 billion in 2014 to KSh 2.9 billion in 2015.



- The current market valuation of the group's inventory or land bank is in excess of KSh. 6 billion which value will continue appreciating as additional investment is injected into the projects' infrastructure and the projects get near completion.

2. Basis of Restructuring:

- Home Afrika started as a '*chama*' with 128 founder members and was later incorporated in 2008 with a mission to address the housing need in Africa.

The dynamics of the '*chama*,' meant that most of the founder members were involved in the day to day running of the organization in the various subsidiary companies' boards and/or board committees even after the company grew and eventually got listed on the NSE. Besides the huge and top-heavy cost implication, this also presented significant corporate governance challenges and hindered the effectiveness of the management team's in establishing and running a vibrant sales function amongst others and more importantly hindered adequate fundraising efforts to facilitate faster projects completion. These in effect adversely affected the group's ability to accelerate projects percentage of completion, generate revenue and thereby return profits.

- In September 2015, Home Afrika commenced implementation of an aggressive internal restructuring & reorganization of the group's governance, operating structure and business model to address the above challenges with the goals of establishing a vibrant sales function, fundraising, returning to profitability and finally growing shareholders' value. This culminated in major changes at staff level and the recent board appointments of Linus Gitahi, Peter Nduati and Rachel Mbai. The trio has filled the vacancies created by the retirement of all but 3 of the 11 founder directors. We now have a leaner and more robust institutional framework at governance, staff levels and cash generating business model." The new team brings on board a new set of skills, networks and experiences to the group's new long term plans starting with a short term strategic plan, 2016 2022, dubbed Home Afrika 2.0.

The new business model will see the company venture into real estate management and real estate agency services with the goal of diversifying revenue and cash flow sources. Besides developing and selling its own property, the company will now sell on behalf of other developers and property owners as well as offer property management services to this new customer base.

- The above restructuring is already bearing positive fruit especially as relates to top line revenue which has increased from September 2015 into the first quarter of 2016. First quarter 2016 revenue closed at KSh 235 million as compared to KSh 260 million for the full year 2015. Due to cost efficiency and reduction, where necessary, the group has also seen a significant reduction in operating costs which should translate to much more favorable profitability results in 2016.
- As part of the strategy review, the company has been in the market seeking strategic equity and joint venture partners to help it hasten completion of its projects. These have started bearing fruits with the first of such partnerships being the KSh 3 billion partnership with Egyptian private clubs developer, Wadi Degla, for the development of the remaining front nine golf holes at Migaa Golf Estate's 18-hole golf course to championship standards. This investment also includes building the golf club and the sports centre within Migaa Golf Estate. These facilities are expected to be completed within a 12 months period and thereby significantly increase the project's percentage of completion.
- Home Afrika has also just completed and launched **Mitini Scapes Estates**, a project comprising 82 cottages and apartments which is expected to generate sizeable cash inflows from receivables and ongoing sales of the remaining units. This will greatly improve the group's liquidity resources to support continuing project completion to the rest of its projects and provide seed to new project opportunities going forward.

The management and board will continue streamlining costs and increase efficiency to maximize shareholder return. The group's management team is spending significant time in both the local and international markets seeking funding as well as joint venture partners to hasten the completion of projects, which in turn should help rebuild shareholder value. The directors remain confident of the substantial underlying long term value of the group's land bank and therefore profit generation capacity in the periods ahead.

Further details are available on our website www.homeafrika.com

Dividends

The Board of Directors do not recommend payment of dividends to the shareholders.

BOARD APPOINTMENTS



Linus Gitahi is currently the Chair of the Board of Tropical Brands Afrika Limited, Federation of Kenya Employers (FKE) Board, Chairman of Board of Trustees at USIU, Director of Allianz Insurance Company and Simba Motors Group. He served as Group CEO of Nation Media Group from 2006 to June 2015. He holds a Bachelor's degree from the University of Nairobi, an MBA from USIU- Africa and a Diploma in Management from the Kenya Institute of Management.

Director and Incoming Chairman



Peter Nduati is a renowned Entrepreneur and currently the CEO of Resolution Insurance. He is a chartered insurer with over 20 years experience in the Insurance Industry. He sits on the boards of First Benefits Ltd, Pine Creek Holdings, Absolute Security Ltd, Redwood Capital, and Brown Oak Ltd an investment holding company. He also sits on the Board of Governors of Dagoretti High School. He was named Entrepreneur of the Year 2013 in the East Africa round of the Johnnie Walker Blue Label CNBC Africa All Africa Business Leaders Awards. He was also admitted as a Global Fellow in the Africa Leadership Institute, the ASPEN initiative. He holds a master's degree in Economics and Insurance and is currently pursuing a doctorate programme focusing on Entrepreneurship in Kenya.

Director



Rachel Mbai is an Advocate of the High Court of Kenya, Commissioner of Oaths and Notary Public of 25 years standing and is currently a partner at the law firm Kaplan & Stratton. Her work encompasses property acquisition/disposal and development, property laws, property finance and loan securities and private client work. She is a well-known name in the real estate sector, and frequently acts on real estate developments, leasing and conveyancing matters

Director